

BRIDGE COURSE WORKBOOK



Accounting for Business Decisions

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Bridge Course session Outcomes:

- Define key accounting terminologies
- State the relevance of accountancy
- List the key concepts in double-entry system
- Memorize the Types of Accounts
- List the Steps in Journalising

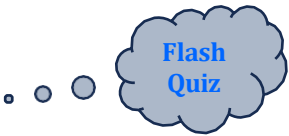
Name of the Student	
Application Number	
Orientation Group	
Student Signature	

SESSION 1

- **Outcome:** Define key accounting terminologies.
- **Activity:** Identify and explain terms such as Assets, Liabilities, Equity, Revenue, and Expenses.
- **Assessment:** Puzzle on basic accounting terminologies.

Key Concepts:

- 1.1 Accounting** is concerned with the summarizing of:
Classified transactions and events, Analysing the summarized records, Interpreting the analysed results and Communicating the interpreted information to the **interested users**.



Flash
Quiz

Accounting and Accountancy are the same? **Yes/No**

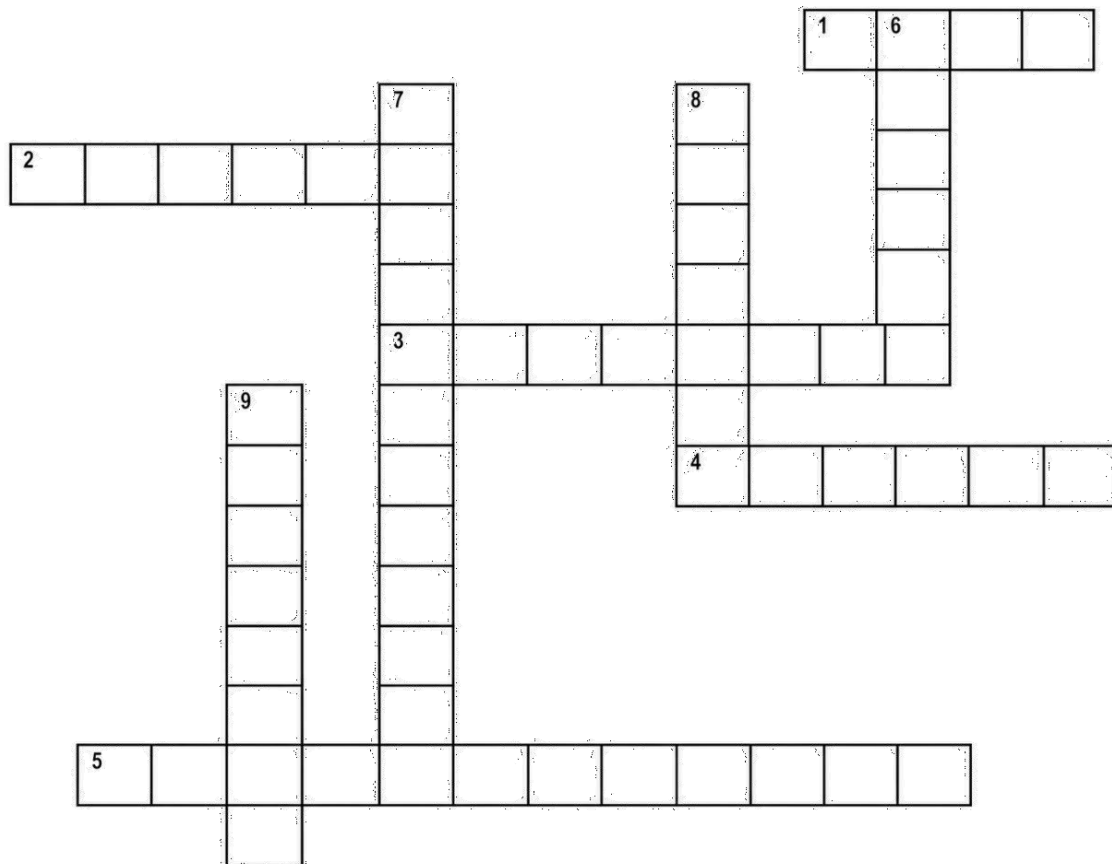
- 1.2 Accountancy** refers to the **systematic knowledge** of accounting. It describes as to ‘**why to do**’ and ‘**what to do**’ of the various aspects of accounting.

- 1.3 Book -Keeping** is the recording phase of accounting system

1.4 Key Terminologies:

- **Assets:** Things a business owns that have value and can be used to generate future income.
- **Liabilities:** Money a business owes to others, such as loans or unpaid bills.
- **Equity:** The difference between assets and liabilities, representing the owner's stake in the business.
- **Revenue:** Money earned from selling goods or services.
- **Expenses:** Money spent on goods, services, or operating costs to earn revenue.
- **Income Statement:** A summary showing how much money a business earned (revenue), spent (expenses), and whether it made a profit or loss over a period.
- **Balance Sheet:** A snapshot of what a business owns (assets), owes (liabilities), and its net worth (equity) at a specific time.
- **Cash Flow:** The movement of money into and out of a business, showing how cash is received and spent over a period.
- **Depreciation:** Spreading out the cost of an asset over its useful life to reflect its gradual wear and tear.
- **Accruals:** Money earned or expenses incurred but not yet recorded in the books.

Assessment 1.0 Crossword Puzzle



Across:

1. Money in hand or readily available.
2. Money earned from work or investments.
3. Costs incurred in running a business or household.
4. Owner's stake in a business after liabilities are deducted.
5. Financial statement showing assets, liabilities, and equity.

Down:

1. Property or resources owned by a business.
2. Allocation of asset cost over its useful life.
3. Income generated from sales or services.
4. Revenues earned or expenses incurred but not yet recorded.

Fill in the Blanks

1. _____ Refers to the amount invested by the owner in the business.
2. The resources owned by a business are called _____.
3. The obligations or debts payable to outsiders by the business are known as _____.
4. _____ are the expenses or costs incurred by a business in the process of earning revenue.
5. The excess of income over expenses is called _____.
6. _____ refers to the amount withdrawn by the owner for personal use.
7. Income earned by a business from its normal operations is referred to as _____.
8. A person or business to whom money is owed by the firm is called a _____.
9. The statement that shows the financial position of a business on a particular date is called a _____.
10. The process of recording financial transactions in a systematic manner is called _____.

Word Search Puzzle

Instructions:

1. Carefully observe the letter grid.
2. Find the following 10 terms hidden in the puzzle:
 - Accrual
 - Amortization
 - Depreciation
 - Liability
 - Balance
 - Taxation
 - Contingent
 - Acquisition
 - Dividend
 - Service Expense (2 words)

3. Words may appear in any direction:

Horizontally (→ left to right or ← right to left) Vertically (↓ top to bottom or ↑ bottom to top)
Diagonally

4. Circle or highlight each word as you find it

Z	X	V	A	C	C	R	U	A	L	I	B	Y	M
A	P	A	R	O	T	I	D	E	R	C	Q	A	P
M	J	P	R	U	E	U	N	E	V	E	R	T	E
O	O	C	M	Y	T	I	L	I	B	A	I	L	S
R	U	H	C	O	N	T	I	N	G	E	N	T	L
T	R	E	E	B	R	G	S	T	S	O	C	L	A
I	N	O	I	T	A	I	C	E	R	P	E	D	T
Z	A	G	D	N	S	A	I	E	R	R	I	E	I
A	L	F	S	A	S	E	A	Z	C	V	B	B	P
T	I	R	I	E	E	L	Q	L	A	R	I	T	A
I	E	L	T	N	T	M	A	U	E	T	D	O	C
O	A	C	Q	U	I	S	I	T	I	O	N	R	E
N	D	C	I	N	C	O	M	E	X	T	T	S	Y
I	B	T	A	X	A	T	I	O	N	A	Y	J	N
N	D	I	V	I	D	E	N	D	B	O	N	M	E

Session 2

- **Outcome:** State the relevance of accountancy
- **Activity:** Identify the Need of accountancy and introduce the accounting concepts and conventions
- **Assessment:** Match the concepts with illustrations

Key Concepts:

2.1 Relevance of Accountancy

- Overcoming the limitation of human memory
- Compliance with the legal requirements
- Assistance in the ascertainment of financial performance of an enterprise
- Supports the users to take economic decisions
- Ascertainment of the value of business

2.2 Accounting Concepts:

Accounting concepts maybe considered as postulates i.e. basic assumptions or conditions upon which the science of accounting is based.

Business Entity Concept: This concept implies that a business unit is separate and distinct from the persons who supply capital to it.

Going Concern Concept: It is assumed that a business unit has a reasonable expectation of continuing business at a profit for an indefinite period of time.

Accounting Period Concept: It is helpful in ascertaining the true and fair financial position of a business entity for a period of one financial year

(Note: Remaining Concepts shall be discussed in detail during the academic sessions)

Dual Aspect Concept: This is the basic concept of accounting. According to this concept, every financial transaction involves a two-fold aspect:

(a) offering a benefit and (b) receiving one in return.

2.3 Accounting Conventions:

The term '**conventions**' denote **circumstances** or **traditions** which guide the accountants while preparing the accounting statements.

- i. **Convention of Consistency:** This convention states that accounting rules, practices, and conventions should be applied consistently from one accounting period to another. Such consistency ensures comparability and reliability of financial information over time.
- ii. **Convention of Full Disclosure:** According to this convention, all significant information must be disclosed honestly in the financial statements. This ensures transparency and enables stakeholders to make well-informed decisions.
- iii. **Convention of Conservatism:** This principle advocates a cautious approach in accounting. It involves recognizing potential losses but not anticipating future gains, thereby safeguarding against uncertainties and overstatement of financial performance.
- iv. **Convention of Materiality:** Under this convention, only information that is material or significant enough to influence the decision-making of users should be disclosed in the financial statements. Insignificant details may be omitted to avoid unnecessary complexity.

Assessment 2.0

Sl. No	Concept or Convention	Who am I?
1	<i>In a small town, Naveen's Ice Cream Parlour keeps its finances separate from his personal money, showing the business as distinct.</i>	
2	<i>Every April, Leena's Hardware Store closes its books to match its revenues and expenses for the year, aiding in yearly comparisons.</i>	
3	<i>Mahesh's Furniture Store lists its inventory at the lower of cost or market value, reflecting a cautious approach to asset valuation.</i>	
4	<i>When Jayanth buys a new tool for his workshop, he records both the increase in equipment (asset) and decrease in cash (asset).</i>	
5	<i>At Isha's Cafe, small expenses like office supplies are not separately tracked due to their immaterial impact on financial statements.</i>	
6	<i>Arun's Car Dealership reveals all relevant financial information, including potential risks and commitments, in its annual report.</i>	
7	<i>Sarah's Restaurant expects to operate indefinitely, so it reports its assets at their cost rather than their potential sale value.</i>	
8	<i>Ananya's Firm uses the same depreciation method each year, ensuring accurate comparisons of financial statements over time.</i>	

Session 3

- **Outcome:** List the key concepts in double-entry system.
- **Activity:** Describe the principles of the double-entry system and hands on training of accounting formats
- **Assessment:** Flash Quiz on the principles of double-entry accounting.

Key Concepts:

3.1 Double Entry System

Double-entry bookkeeping is an accounting method where every financial transaction is recorded with at least two entries: a debit and a credit. A credit is made in at least one account, and a debit is made in at least one other account.

Attributes:

- All the aspects of a transaction will be recorded in detail
- Entries are made in two different accounts on the opposite sides
- Entries will be made for the same amount and at the same time.

3.2 Journal

Journal is derived from the word '**jour**' which means day. Journal is a book that is maintained daily in chronological order for **recording** all the financial entries of the day.

3.3 Ledger

Ledger is the secondary book of accounts. Ledger is one where accounts are kept. The types of accounts in a ledger are **Real, Personal and Nominal**. The process of recording in the ledger is called **ledger posting**.

3.4 Trial Balance

Trial balance is the balances of the **ledger accounts**. There are two methods of preparing trial balance namely total method and balance method. The purpose of preparing a trial balance is to ensure **arithmetical accuracy**.

Activity:

1. Draw the Format of Journal Entry

2. Draw the Format of a Ledger

3. Draw the Format of Trial Balance

Assessment 2.0

The double-entry system requires that every transaction affects at least two accounts.

Answer: **Yes/No**

In the double-entry system, the total amount of debits must always equal the total amount of credits.

Answer: **Yes/No**

The general ledger is used to maintain the detailed records of all individual accounts in the double-entry system.

Answer: **Yes/No**

A transaction that increases an asset and increases a liability is considered balanced in the double-entry system.

Answer: **Yes/No**

In the double-entry system, assets are increased with debit entries and decreased with credit entries.

Answer: **Yes/No**

The double-entry system provides a more comprehensive financial picture than the single-entry system.

Answer: **Yes/No**

The trial balance is prepared to check the accuracy of entries in the double-entry system.

Answer: **Yes/No**

Only businesses with complex financial transactions use the double-entry system.

Answer: **Yes/No**

In the double-entry system, all accounting transactions are recorded only once.

Answer: **Yes/No**

The double-entry system helps in detecting errors in recording transactions. Answer: **Yes/No**

Revenues are increased by credit entries in the double-entry system. Answer: **Yes/No**

Expenses are increased by credit entries in the double-entry system. Answer: **Yes/No**

Cash receipts and cash payments are recorded only once in the double-entry system.

Answer: **Yes/No**

In a journal entry, the debit account is always listed below the credit account and indented.

Answer: **Yes/No**

The ledger contains individual accounts where transactions from the journal are posted.

Answer: **Yes/No**

If the trial balance totals do not match, there is definitely an error in the ledger accounts.

Answer: **Yes/No**

Session 4

- **Outcome:** Memorize the Types of Accounts.
- **Activity:** Identify and explain the golden rules of accounting according to the type.
- **Assessment:** Classify the transactions according to its nature.

Key Concepts:

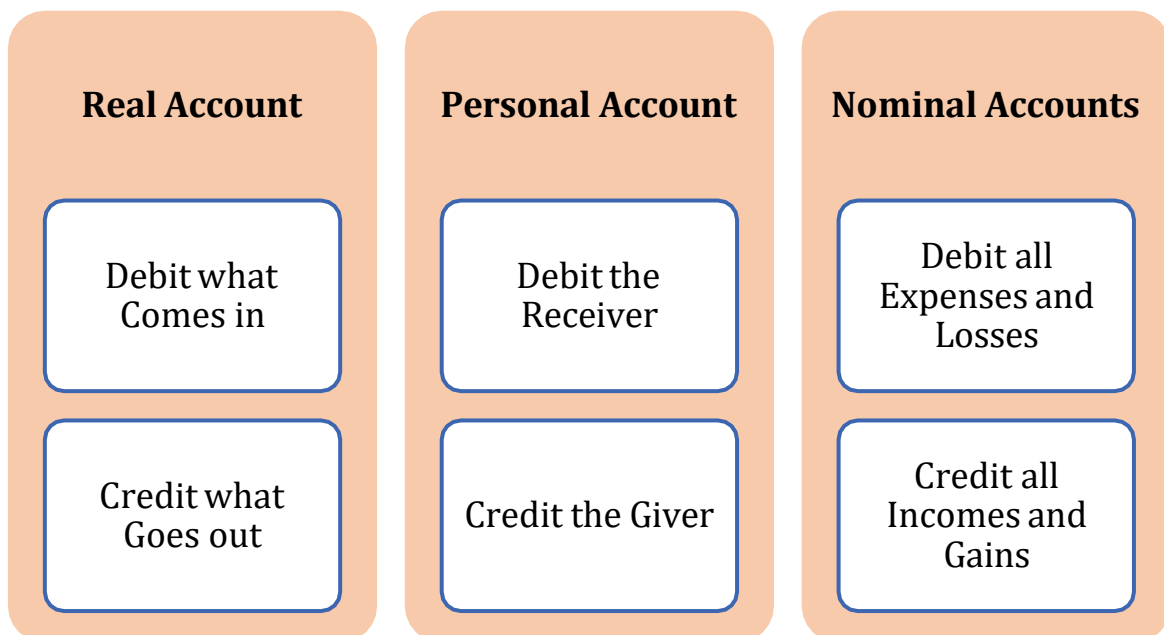
4.1 Classification of Accounts

Personal Account: Personal accounts are the accounts of the persons with whom the business has transactions.

Real Account: Real accounts refer to the accounts of properties, assets or things owned by business.

Nominal Account: It is also called a fictitious account and records the various expenses and losses incurred by a firm, as well as the different incomes and gains earned by the firm.

4.2 Golden Rules



Assessment 4.0 Classify according to the nature of accounts

Sl. No	Nature of the Transaction	Type of Account?
1	Ramesh A/C	
2	Building A/C	
3	Cash A/C	
4	Jayanagar Sports Club A/C	
5	Purchases A/C	
6	Furniture A/C	
7	Commission Received A/C	
8	Bank A/C	
9	Rent Received A/C	
10	Capital A/C	

Multiple Choice Questions (MCQs)

1. Which of the following is a Personal Account?

- a) Machinery
- b) Rent Expense
- c) Customer's Account
- d) Building

Ans:

2. Real Accounts deal with:

- a) Persons
- b) Expenses
- c) Assets and Properties
- d) Revenues

Ans:

3. Nominal Accounts record:

- a) Assets owned by the business
- b) Transactions with persons
- c) Expenses, losses, incomes, and gains
- d) Cash and bank balances

Ans:

4. Which of the following is NOT a Nominal Account?

- a) Salary Expense
- b) Sales Revenue
- c) Furniture
- d) Interest Income

Ans:

5. According to the Golden Rules, how is an expense treated in accounting?

- a) Debit the giver, credit the receiver
- b) Debit what comes in, credit what goes out
- c) Debit all expenses and losses, credit all incomes and gains
- d) Debit the receiver, credit the giver

Ans:

True or False

1. Personal Accounts represent accounts of individuals, firms, and companies.

True/False

2. Real Accounts include accounts like rent and salaries.

True/False

3. Nominal Accounts are also called fictitious accounts.

True/False

4. The Golden Rule for Personal Accounts is “Debit the receiver, credit the giver.”

True/False

5. According to the Golden Rules, all incomes and gains are credited in the accounts.

True/False

Short Answer

- 1. Define Personal Account with an example.
- 2. What is the Golden Rule for Real Accounts?
- 3. Give two examples each of Nominal Accounts.
- 4. What distinguishes a Real Account from a Personal Account?
- 5. Explain the significance of the Golden Rules in accounting

Session 5

- **Outcome:** List the Steps in Journalising.
- **Activity:** Practice passing journal entries for typical business transactions.
- **Assessment:** Create journal entries based on provided transaction scenarios.

Key Concepts:

1.1 Steps in Journalising

- ✓ Only business transactions are recorded
- ✓ Two accounts involved should be identified
- ✓ Nature of these accounts and the corresponding rules should be found out
- ✓ The journal entry should be passed, and the debit and the credit amounts should be written in the respective columns against the amounts.

1.2 Illustration of Journal entry

Date	Particulars	L.F	Debit	Credit
//****	Cash A/C Dr.		****	
	To Capital A/C			****
	(Narration)			

Assessment 5.0

Journalize the following transactions in the books of Mr. Ganesh, for the month June 2024.

1st Started business with cash Rs 20,00,000

2nd Purchased goods for Rs 4,00,000

3rd Sold goods for Rs 4,60,000

4th Purchased machinery Rs 3,00,000 from Arjun & Co.,

5th Placed an order for buying goods Rs 300,000 with Saksham

6th Paid Rs 1,00,000 to Arjun & Co.,

7th Commission paid Rs 50,000.

Solution:

Session 6

Activity

Campus :

JAIN (Deemed-to-be University)
Center for Management Studies
#133, Lalbagh Road, Bengaluru – 560 027
www.jainuniversity.ac.in | www.cms.ac.in

Campus:

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